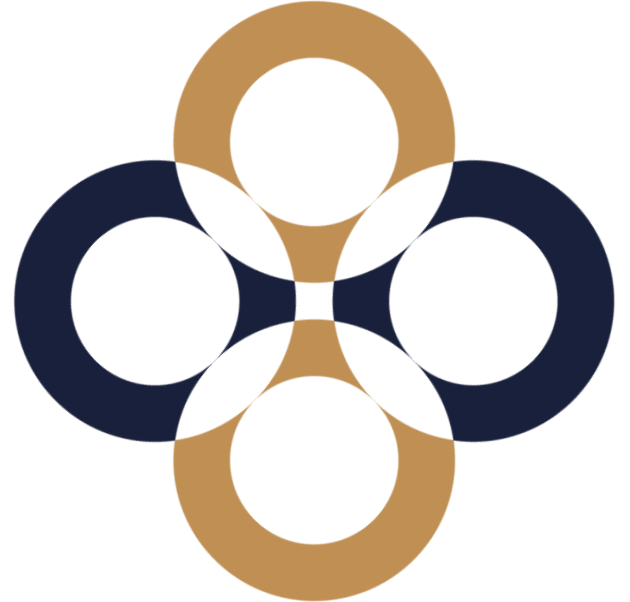


Price, value, valuation

Péter Juhász, PhD, CFA



For sale: Fast food restaurant in Campona Mall



A business entity that owns rental rights (48 m2) and all assets and licences needed is for sale. The price includes the 3.3 M HUF deposit paid to the lessor.

Price: 19.9 M HUF

Prescriptive (normative) science

- „That has to be like this.” (mathematics)

Descriptive science

- „That is like this.” (botany, sociology)

This semester is a compromise.

On the stories



How are those different?

Project valuation

Today

Limited horizon

One single risk

Cross-effects

**Accept or
refuse?**

Business valuation

At a given date

Endless operation

Multitude of risks

Financial
statements

How much?

Equity valuation

In 1 year
(target price)

Endless operation

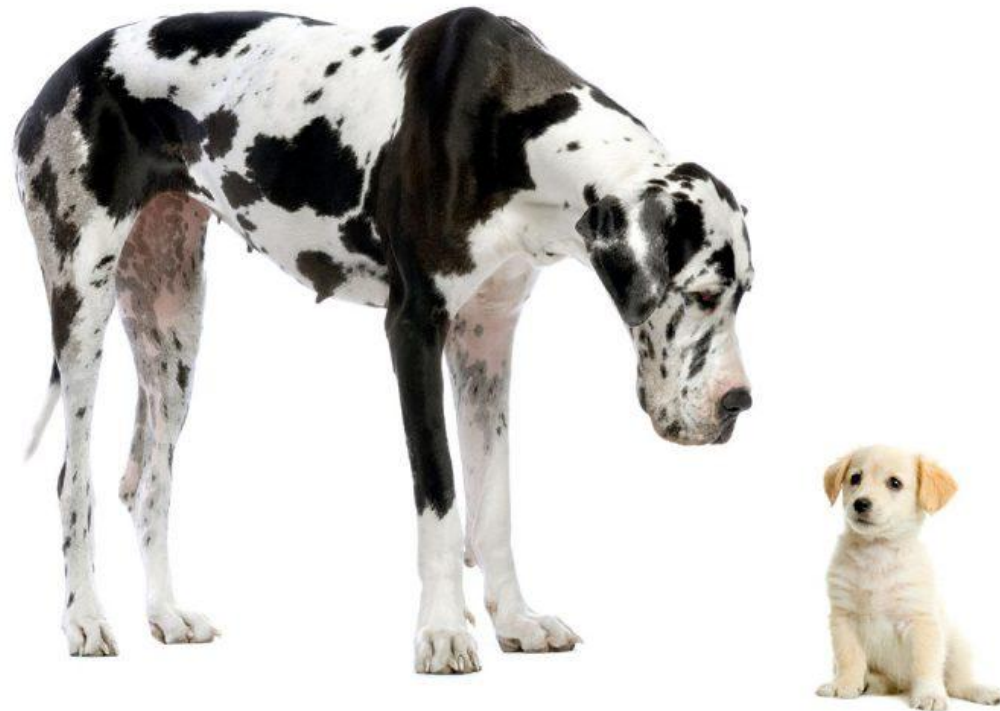
Risk of
market pricing

Technical analysis

Sell or buy?

~~Fair market value~~

Realistic transaction price range



What creates value (utility)?

Money

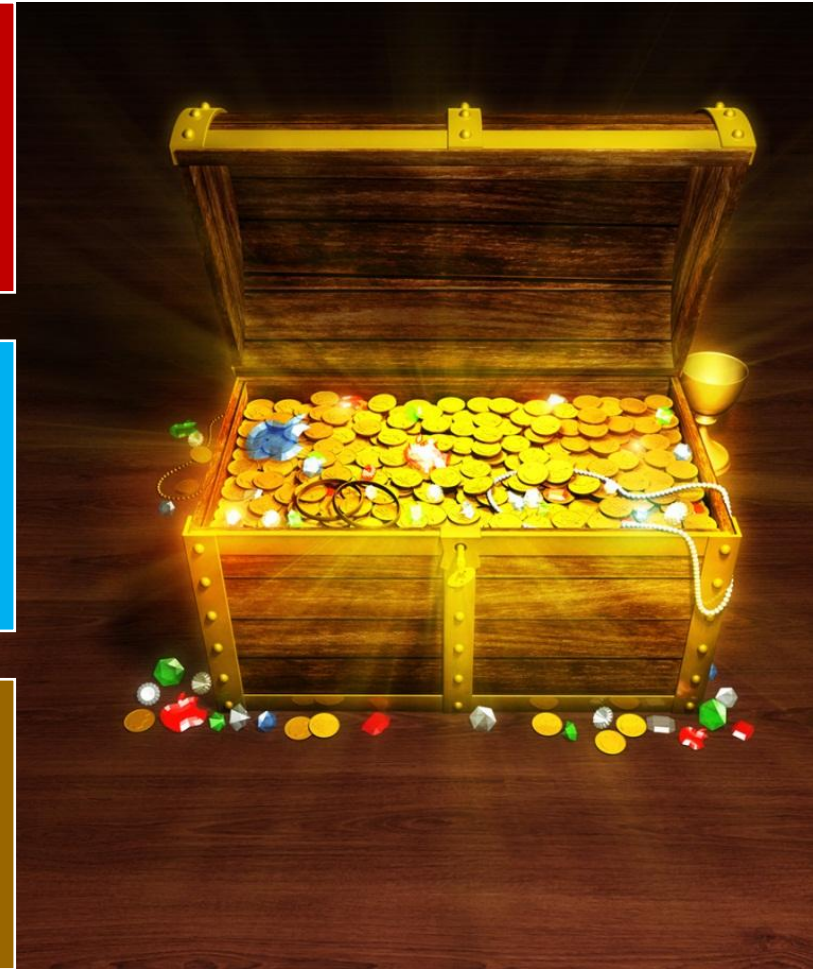
Problem-solving

Joy of work

Respecting traditions

Recognition

Power



Value for the customer

Pays the **price**, receives **utility**.

Alternatives: competitive solutions.

Value for the shareholders?

Provides **capital** and receives **return**.

Alternatives: competitive investment opportunities.

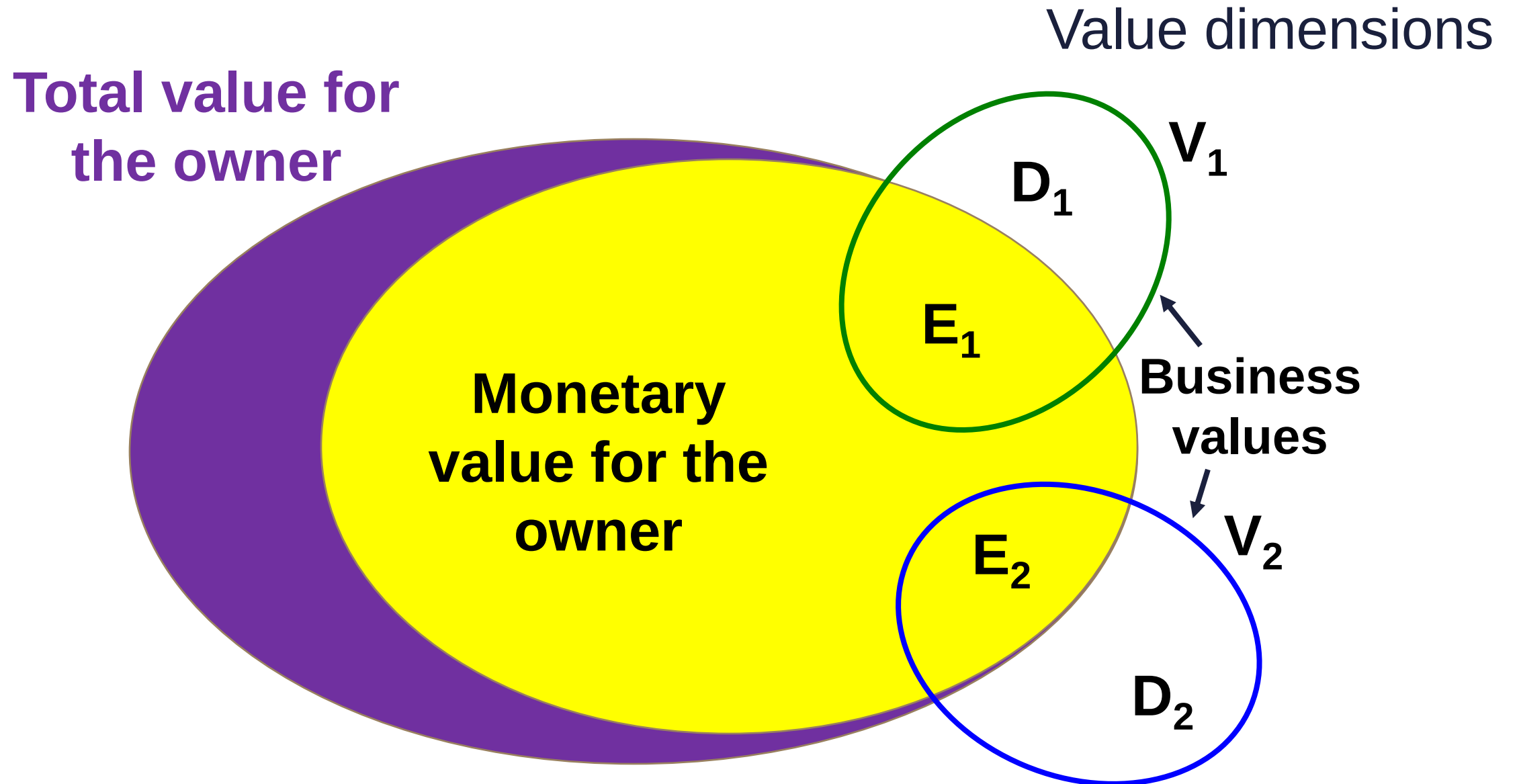
Value for the stakeholders?



We only measure in
money from the
aspect of the owners.



„The
value like
beauty is
in the eye
of the
beholder.”



Why do we need the value?

Share trades

IPO

Privatisation

**Strategic
decisions**

**Management
performance**

M&A

Taxation

**Inheritance,
divorce**

Who needs to understand business valuation?

Equity analysts

Investment bankers

Private equity professionals

Fund managers

Privatisation officers

Business owners

All top managers



What is worth to study?

The process
of valuation

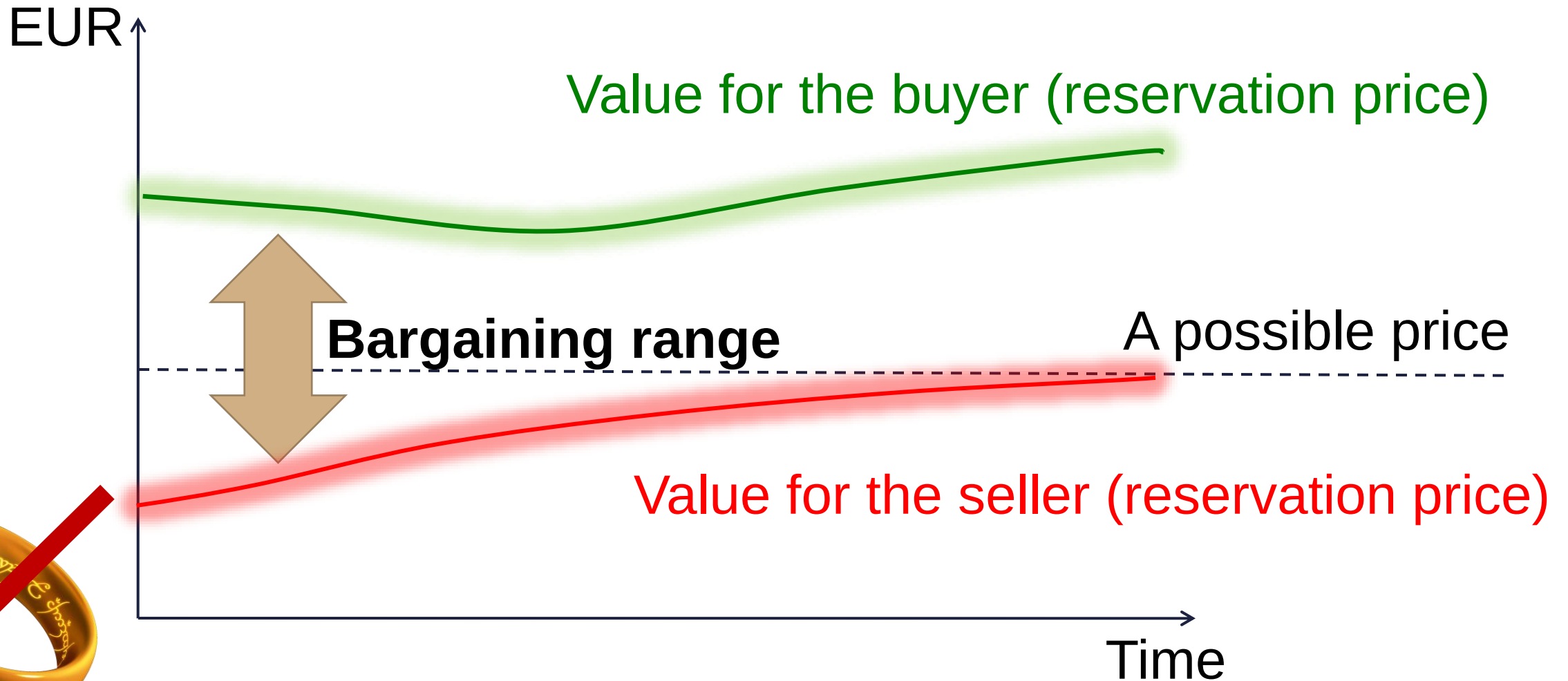
Interpreting
financial
statements

Basics of
financial
planning

Value based
management

But, of course, valuation is also useful ...

There is no „one value above them all”



To specify in advance



What?



For whom?



Why?



For what
date?

Why would the values differ?

Expectations (macro assumptions)

Makings (knowledge, connections, synergies)

Time horizon (private businesses)

Investment alternatives (not everything is public, family issues)

Risk averseness (required return, level of diversification)

Compromises

Reality...	Classroom...
Investors with unique traits (special ownership and interest links)	„Typical” investor (small shareholder, professional and financial investor)
Imperfect markets (no fresh capital)	Efficient markets (CAPM)
Information asymmetry	Perfect information
Personal expectations (rationality?)	„Market” expectations, expert estimations
That is what is being offered.	That is the result of the formula.

The aim drives the result of the valuation

Buyout
(firm unchanged)

**Strategic
decisions**
(alternative future
paths)

M&A
(synergies)

Liquidation
(operation ends)

Valuation approaches

Income-based (dividend, DCF, capitalisation)

Multiple-based (comparative transactions, market multiples)

Asset-based (recreation, liquidation, forced liquidation)

Real options? (not a valuation approach, rather a conversion tool)

Connected fields of science

Corporate finance

Business economics

Managerial accounting

Value chain management

Financial accounting

Strategic management

Investments

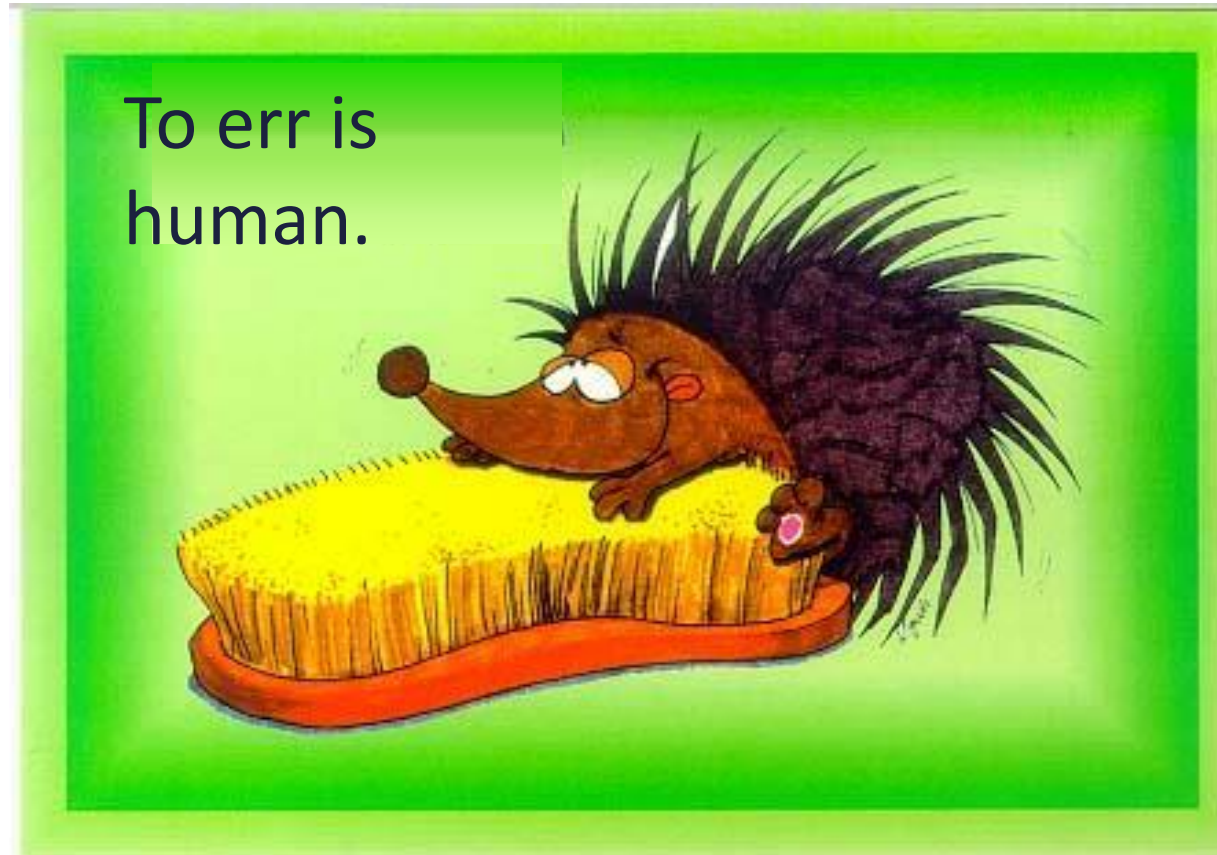
Organisation and leadership

Microeconomics

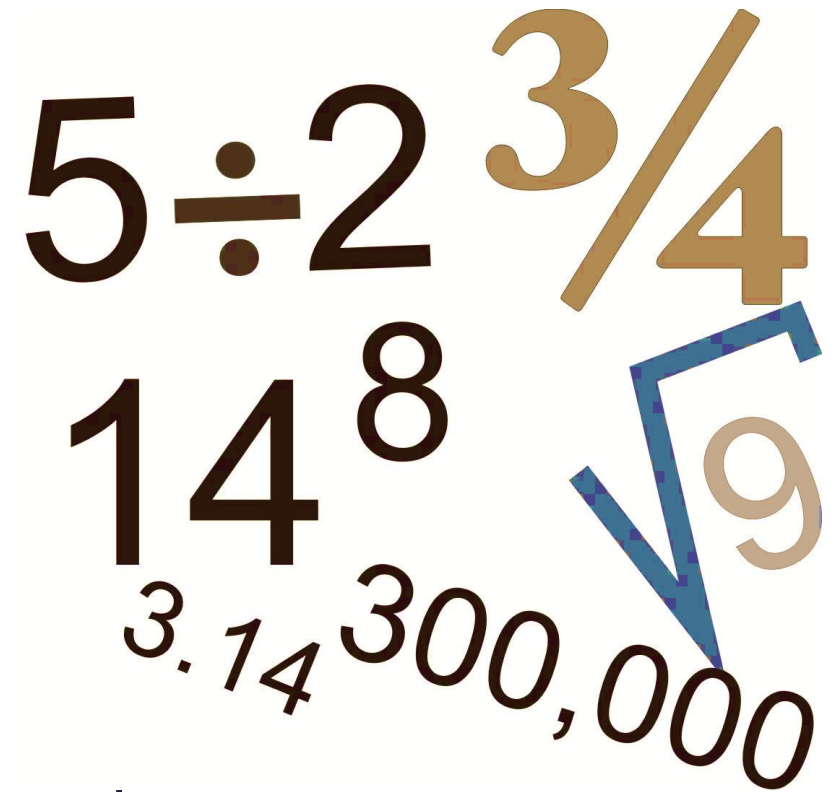
Performance measurement

Economic law

Misbeliefs about valuation



1. As valuation is quantitative,
it has to be objective too.



A collection of mathematical symbols and numbers arranged in a cluster. The symbols include $5 \div 2$, $\frac{3}{4}$, 14^8 , a blue square root symbol $\sqrt{9}$, 3.14 , and $300,000$.

The price is objective, the value not.

2. The result of a well-prepared valuation is timeless.



3. A good valuation leads to an exact result.



4. The more the quantified information, the more exact the valuation result is.



5. You may earn money by valuation only on an inefficient market .

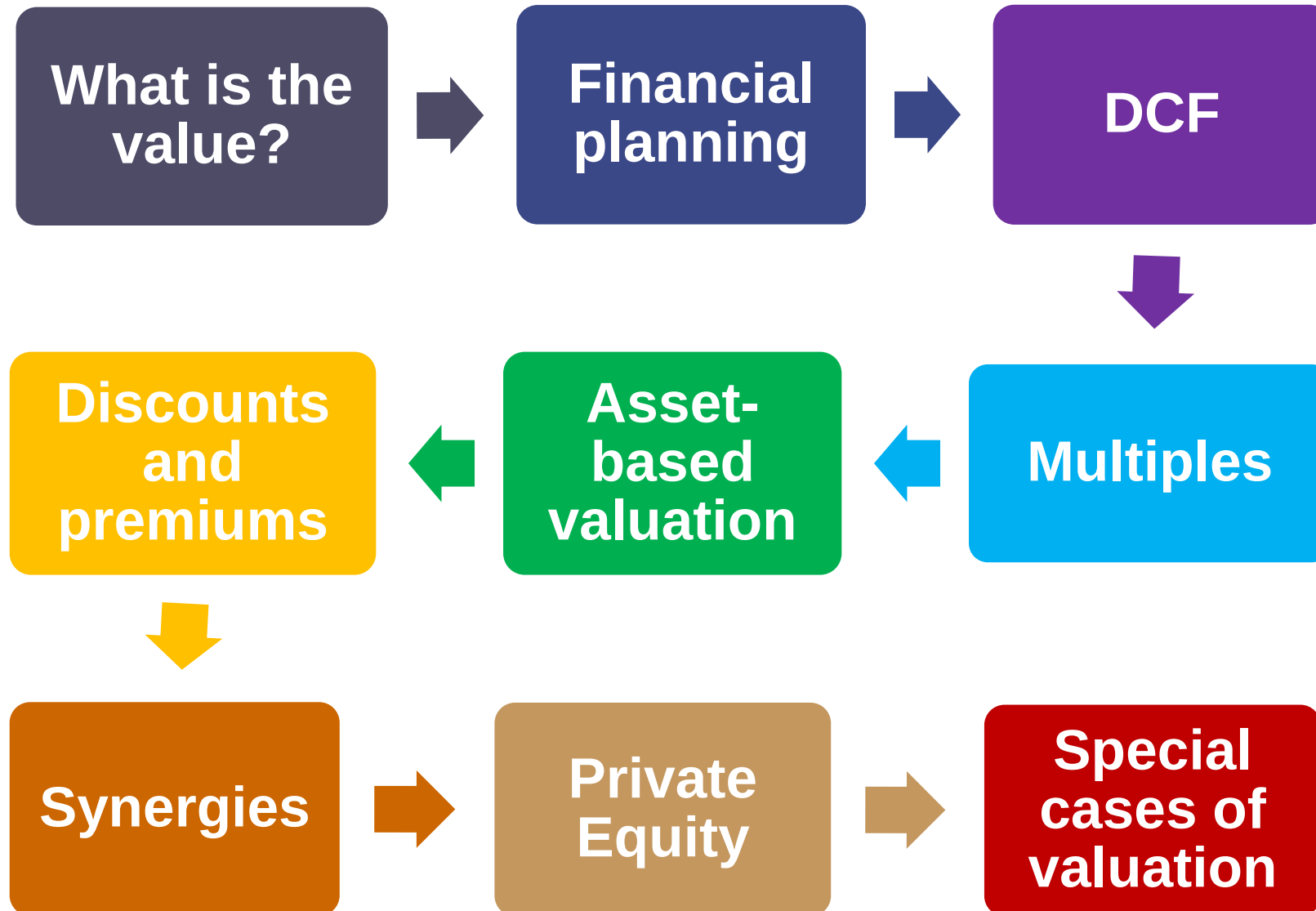


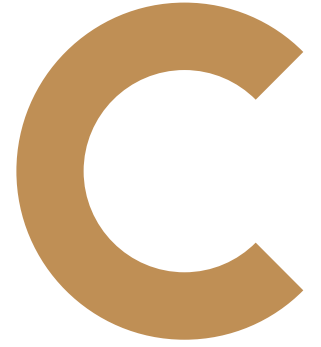
The value has not to be paid.
The price reflects the value for none.

6. It is only the result of the valuation that counts. Methods are secondary.



Our schedule for the quarter





**Thank you
for your attention.
Any questions?**

